TEACHER GUIDE

Pearson Edexcel GCSE (9-1) in Business (1BS0)

Market segmentation

Theme 1: Investigating small business
Topic 1.2 Spotting a business opportunity · 1.2.3 market segmentation



A revision lesson. Pupils run a car dealership in firms of four and revise market segmentation on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Market share as %

Round 1

Share of the town.

Dealer's market share, as a %?

Dealer's sales, new	**77 cars**
Dealer's sales, used	**16 cars**
All sales in the town	**300 cars**

ANSWER

31%

77 + 16 = 93; 93 ÷ 300 × 100 = 31%

Why: The dealer wins 31 of every 100 cars sold in the town.

2 Why share fell

Round 1

Your market share fell from 20% to 15%, but you sold more cars.

Which two explain this?

- **A** The whole market grew faster
- **B** The market shrank
- **C** Rivals won more new buyers
- **D** Rivals' sales fell
- **E** You sold fewer cars

ANSWER

✓ The whole market grew faster
✓ Rivals won more new buyers

Why: Share is your sales over the market: the market grew faster than you.

3 Rank market share

Round 2

Three dealers: their sales and their town's sales.

Order by market share, highest first?

- **A** 120 of 600 cars
- **B** 450 of 5,000 cars
- **C** 300 of 2,000 cars

ANSWER

1. 120 of 600 cars
2. 300 of 2,000 cars
3. 450 of 5,000 cars

Why: Shares 20%, 15%, 9%: the most cars sold is the smallest share.

Topic tasks

4 Segment revenue

Round 2

Revenue in one segment.

Dealer's revenue from this segment?

Town's car sales, a year	**£300,000**
Business buyers, % of sales	**25%**
Dealer's share of them	**10%**

ANSWER

£7,500

25% × £300,000 = £75,000; × 10% = £7,500

Why: The segment is worth £75,000. The dealer takes 10% of it.

5 Niche or mass

Round 3

You are a small dealer. Six big dealers chase every buyer; no rival targets young drivers.

Which should you choose, and why?

A Sell to every buyer

B Focus on young drivers

ANSWER

✔ **Focus on young drivers**

Why: A small firm does best in a segment rivals ignore.

6 Market share change

Round 3

Two years compared.

Dealer's share change, in % points? Minus allowed.

Dealer's sales, last year	**49 cars**
All sales, last year	**700 cars**
Dealer's sales, this year	**198 cars**
All sales, this year	**1100 cars**

ANSWER

11%

49 ÷ 700 = 7%; 198 ÷ 1100 = 18%; 18 − 7 = 11 points

Why: The share went from 7% to 18%.

Final questions

Each pupil answers 6 final questions on market segmentation. They come from these 17 questions.

1. A dealer sells 24 of the 120 used vans sold in its regional market. What is its unit market share?
   ✔ **20%**

2. A fleet dealer supplies 30 vans and has a 15% unit market share. What is the total number of vans sold in that market?
   ✔ **200 vans**

3. After a recall a dealer's sales fall from 24 to 18 cars in a 120-car local market. By how many percentage points does market share fall?
   ✔ **5 percentage points**

4. A dealer targets first-time drivers aged 17–24. Which segmentation basis is used?
   ✔ **Demographic segmentation by age**

5. A winter-tyre campaign is shown only to customers in colder northern areas. Which segmentation basis is this?
   ✔ **Geographic segmentation**

6. A dealership targets a premium service plan at customers in a high-income bracket. Which segmentation basis is used?
   ✔ **Income**

7. You have 36 sales in a 240-vehicle market. With the market unchanged, how many more sales reach a 20% unit market share?
   ✔ **12 vehicles**

8. Research shows families value boot space while city commuters value easy parking. What should Sales do?
   ✔ **Tailor the message to each group**

9. A dealership sells 45 of the 300 used cars sold in its town during one month. What is its unit market share?
   ✔ **15%**

10. Segmentation means splitting customers into groups with different wants, each given a suitable offer. A dealer offers families, taxi firms and delivery firms different ranges. What is it doing?
    ✔ **Segmenting: customers in groups, each with a different offer**

Final questions

11 Market share = business sales ÷ total market sales × 100. A town sells 250 used cars a month; one dealer sells 45. Using the formula, what is its share?

✔ **18%**

12 Market size is the total sales of every business in the market. Three dealers, the only ones in town, sold £180,000, £145,000 and £95,000. What is the market size?

✔ **£420,000**

13 A dealer groups its customers by the area where they live. Which basis of market segmentation is this?

✔ **Location**

14 A dealer offers small, cheap-to-insure cars to drivers aged 17 to 21. Which basis of market segmentation is it using?

✔ **Age**

15 A dealer sells only luxury cars that cost over £60,000. Which market segment is it mainly targeting?

✔ **Customers with high incomes**

16 Why does a dealer split its market into segments?

✔ **To target each group with cars and adverts that suit it**

17 A dealer runs a club for customers who enjoy off-road driving and camping. Which basis of market segmentation is this?

✔ **Lifestyle**